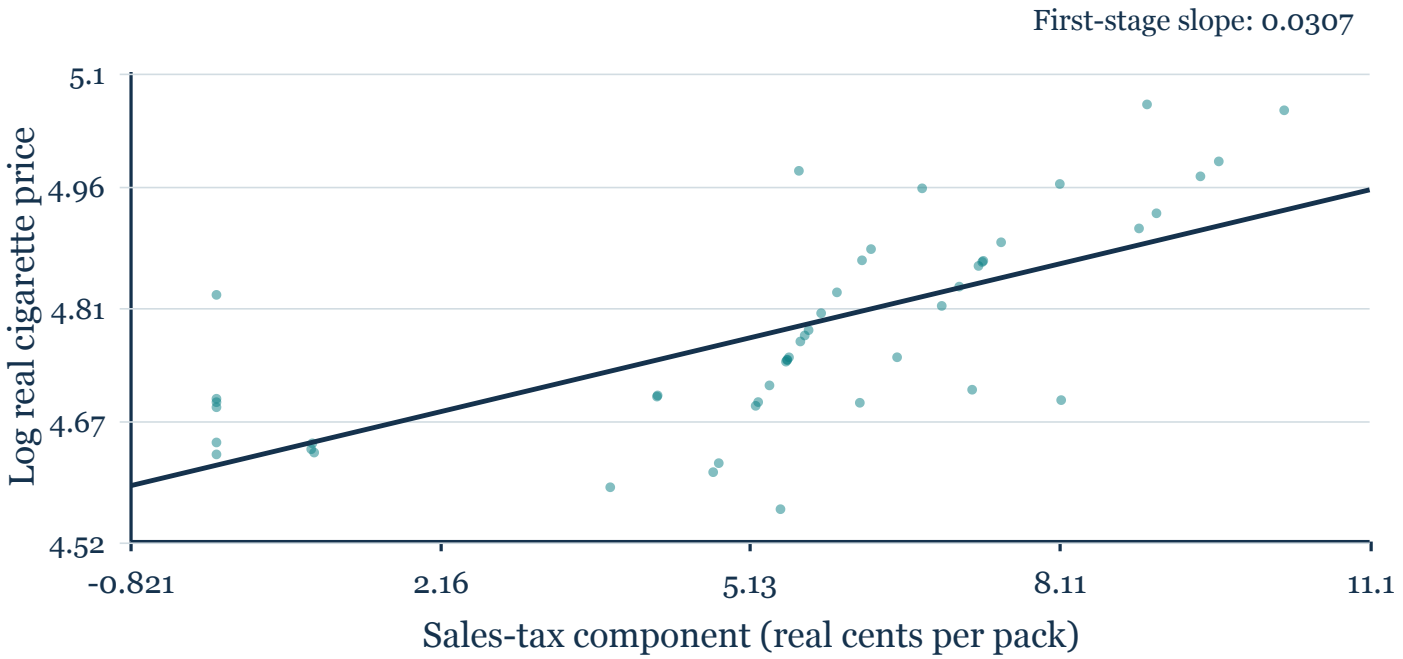
Do higher cigarette prices reduce sales?

Price is chosen in a market, so its variation may be endogenous.



Actual 1995 state price and tax data. The first stage describes relevance; it cannot establish the exclusion restriction.

IV: instrumental variables

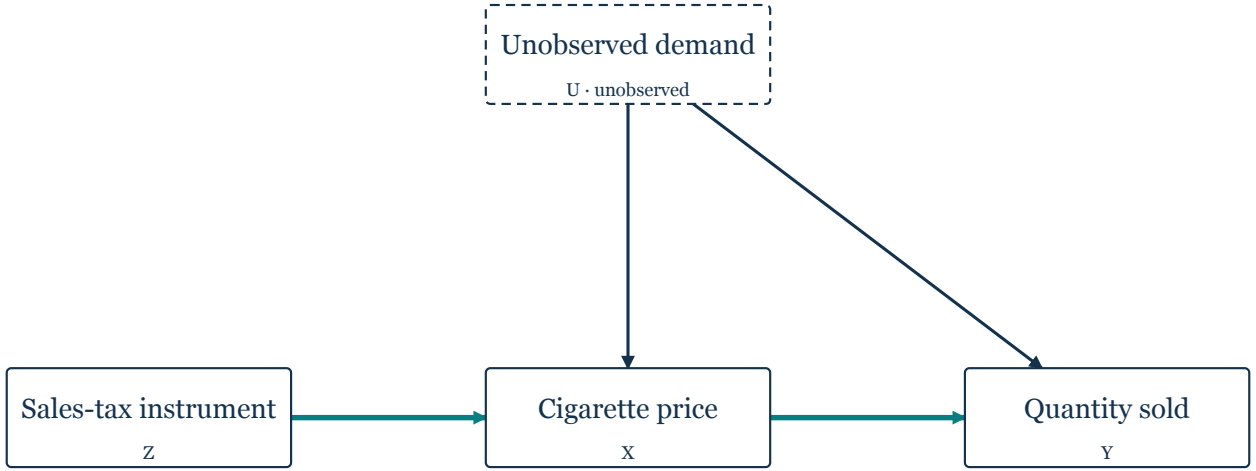
Define the demand equation and its units

A log price slope is an elasticity under the model.

> $$\log Q_i = \alpha + \beta \log P_i + u_i$$

Relevance is the first instrument requirement

The instrument must move the endogenous regressor.



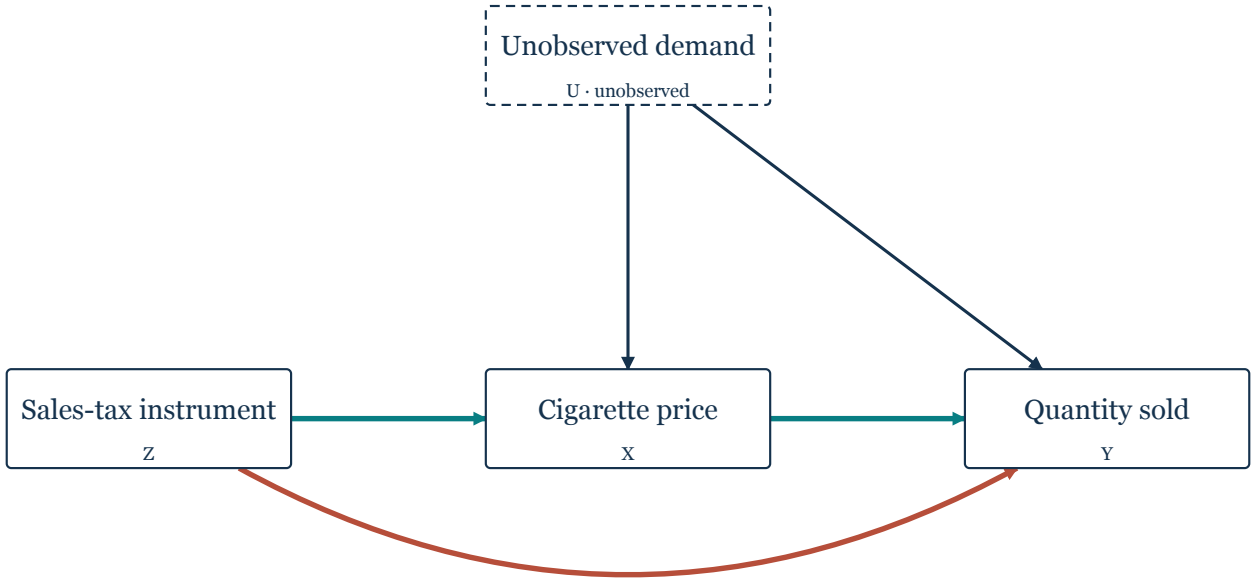
1 open directed route · 0 open alternatives · gold: conditioned on

Assumed causal structure · dashed boxes: unobserved · gold boxes: conditioned on

- First stage: $\log P_i = \pi_0 + \pi_1 Z_i + v_i$
- Relevance: $\pi_1 \neq 0$ in the relevant population model

Exogeneity and exclusion justify the comparison

A strong first stage does not establish either condition.



> Required condition: $\text{Cov}(Z_i, u_i) = 0$

> Exclusion requires every instrument-to-outcome route to pass through price.

Derive the simple IV ratio

Compare how the instrument moves the outcome and the regressor.

> $$\widehat{\beta}_{IV} = \frac{\widehat{\rho}}{\widehat{\pi}_1}$$

> $\widehat{\rho}$: reduced-form slope; $\widehat{\pi}_1$: first-stage slope

Wald ratio

Apply the idea before reading the solution.

Practice

A proposed instrument increases treatment by 0.30 units; its reduced-form outcome coefficient is −0.09. Compute the simple IV ratio and name the conditions behind a causal interpretation.

Wald ratio: explanation

Connect the calculation to the empirical claim.

> The ratio is $-0.09/0.30 = -0.30$ outcome units per treatment unit. Relevance is necessary. Instrument exogeneity and exclusion are separate substantive restrictions; heterogeneous-effect interpretations may additionally require assumptions such as monotonicity. A statistically significant first stage does not establish exclusion.

Inspect the OLS demand comparison first

It is a useful benchmark, not the target by default.

```
. regress logq logp, vce(robust)

------------------------------------------------------------------------------
             |               Robust
        logq | Coefficient  std. err.      t    P>|t|     [95% conf. interval]
-------------+----------------------------------------------------------------
        logp |  -1.213057   .1945896    -6.23   0.000    -1.604746   -.8213685
       _cons |   10.33892   .9348202    11.06   0.000     8.457229    12.22062
------------------------------------------------------------------------------
```

Read the actual first stage

State the instrument units as recorded in the data.

```
. regress logp salestax, vce(robust)

------------------------------------------------------------------------------
             |               Robust
        logp | Coefficient  std. err.      t    P>|t|     [95% conf. interval]
-------------+----------------------------------------------------------------
    salestax |   .0307289   .0048354     6.35   0.000     .0209956    .0404621
       _cons |   4.616546   .0289177   159.64   0.000     4.558338    4.674755
------------------------------------------------------------------------------
```

Read the reduced form using the same controls and sample

Its scale is quantity change per instrument unit.

```
. regress logq salestax, vce(robust)

------------------------------------------------------------------------------
             |               Robust
        logq | Coefficient  std. err.      t    P>|t|     [95% conf. interval]
-------------+----------------------------------------------------------------
    salestax |  -.0332974   .0102541    -3.25   0.002    -.0539378    -.012657
       _cons |   4.717449   .0650586    72.51   0.000     4.586493    4.848405
------------------------------------------------------------------------------
```

Use the dedicated IV estimator for uncertainty

Manual fitted-regressor OLS is not enough for valid IV SEs.

```
ivregress 2sls logq (logp = salestax), vce(robust)
```

Compare the actual IV coefficient with its ratio

The do-file verifies equality before rounding.

```
. ivregress 2sls logq (logp=salestax), vce(robust)

------------------------------------------------------------------------------
             |               Robust
        logq | Coefficient  std. err.      z    P>|z|     [95% conf. interval]
-------------+----------------------------------------------------------------
        logp |  -1.083587   .3122036    -3.47   0.001    -1.695495    -.471679
       _cons |   9.719877   1.496143     6.50   0.000      6.78749    12.65226
------------------------------------------------------------------------------
```

Included exogenous controls belong in the IV specification

They help define the same conditional comparison in both stages.

```
. ivregress 2sls logq logincome (logp=salestax), vce(robust)

------------------------------------------------------------------------------
             |               Robust
        logq | Coefficient  std. err.      z    P>|z|     [95% conf. interval]
-------------+----------------------------------------------------------------
        logp |  -1.143375   .3604805    -3.17   0.002    -1.849904   -.4368463
   logincome |   .2145153   .3018477     0.71   0.477    -.3770953    .8061258
       _cons |   9.430658   1.219402     7.73   0.000     7.040675    11.82064
------------------------------------------------------------------------------
```

Unexpected first-stage sign

Apply the idea before reading the solution.

Practice

School availability predicts less attendance at the intended school type. Is a negative first-stage coefficient alone proof that IV is invalid?

Unexpected first-stage sign: explanation

Connect the calculation to the empirical claim.

> No. Relevance requires a nonzero first stage, not a prescribed positive sign. An unexpected sign should prompt checks of coding, selection, theory and strength. It does not by itself prove or disprove exclusion or exogeneity.

Weak instruments make the ratio fragile

A near-zero first stage magnifies uncertainty.

```
. estat firststage

  First-stage regression summary statistics
  ------------------------------------------------------------------------------
               |             Adjusted      Partial       Robust
      Variable |   R-sq.       R-sq.        R-sq.       F(1,45)   Prob > F
  -------------+----------------------------------------------------------------
          logp |  0.6389      0.6228       0.5009       44.7305    0.0000
  ------------------------------------------------------------------------------
```

A larger instrument set adds assumptions as well as information

More instruments are not automatically a better design.

> An overidentified model has more excluded instruments than endogenous regressors.

> For the core application we keep one excluded instrument and a transparent ratio.

School availability illustrates the exclusion question

A plausible first stage can still leave another route to the outcome.

> Suppose nearby single-sex school availability predicts attendance at that school type, and the outcome is a student's score.

> Residential choice, local resources or school competition may create other relationships.

With heterogeneous effects, say whose response IV identifies

A constant coefficient can hide a local treatment comparison.

> If treatment effects differ across people, a binary-instrument, binary-treatment IV estimate may identify a local average treatment effect under assumptions including exclusion, instrument independence and monotonicity.

> The relevant group is the compliers: units whose treatment status changes because of the instrument.

Instrument scaling does not change the simple ratio

Consistent numerator and denominator transformations cancel.

> $$\frac{\hat{\rho}/c}{\hat{\pi}_1/c} = \frac{\hat{\rho}}{\hat{\pi}_1} \text{ for nonzero } c$$

Write the IV argument as a chain of evidence

Separate relevance, exclusion, estimation and inference.

> Begin with the endogenous comparison and the omitted forces that threaten OLS.

> This sequence helps a policy reader assess the strategy rather than treat 2SLS as a label for causality.

Two stages and uncertainty

Apply the idea before reading the solution.

Practice

Why not report ordinary OLS standard errors from regressing y on first-stage fitted x?

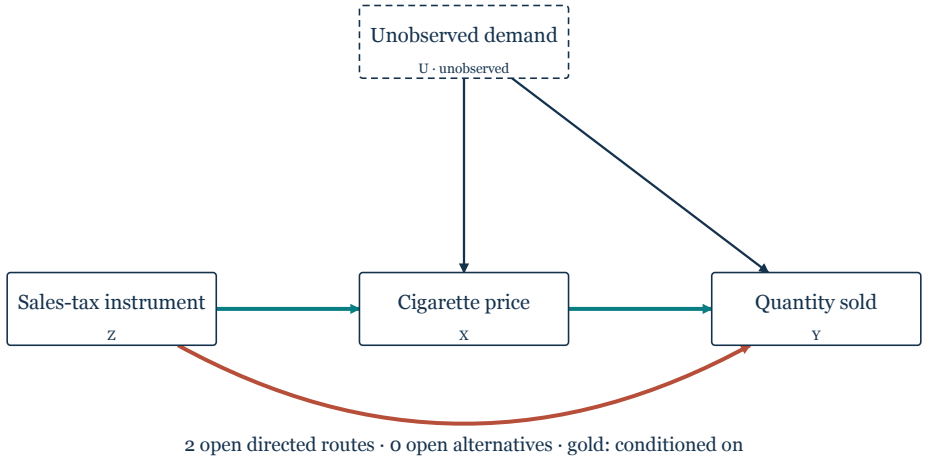
Two stages and uncertainty: explanation

Connect the calculation to the empirical claim.

> The second-stage fitted regressor is generated, and the relevant structural residual and variance calculation differ from the naive second-stage OLS calculation. Use a proper IV estimator such as ivregress 2sls with a justified covariance option.

DAG practice: challenge exclusion with one extra arrow

Trace the routes before choosing a control.



Assumed causal structure · dashed boxes: unobserved · gold boxes: conditioned on

Practice

The tax instrument predicts cigarette price. Add a direct tax-to-quantity arrow that bypasses price. Could the first stage stay strong? Why would dividing the reduced form by the first stage then fail to isolate the intended price elasticity?

DAG practice: challenge exclusion with one extra arrow: explanation

Explain what conditioning changes in this stated graph.

> The first stage can remain strong because the tax-to-price arrow has not disappeared. Relevance does not rule out a second route from the instrument to quantity that bypasses price. The reduced-form instrument association would combine the price channel and that additional direct channel. Dividing by the first stage no longer isolates the price response under the original exclusion argument. Use the graph to name a concrete institutional threat and assess it separately from the numerical strength of the first stage.

Reconstruct IV and assess the instrument separately

Reproduce the evidence, then explain its economic meaning.

Practice

Run meeting_14.do using cigarettes.csv. Divide the reduced-form tax slope by the first-stage price slope and compare the ratio with ivregress. Explain the coefficient in elasticity units. Then name one concrete exclusion threat that a strong first stage cannot rule out.

Reconstruct IV and assess the instrument separately: explanation

A reproducible result needs both a calculation and an interpretation.

> The reduced-form slope is -0.033297 and the first-stage slope is 0.030729. Their ratio is -1.083587, matching the simple IV price coefficient. In this log–log specification it is an elasticity: a small one-percent price increase corresponds to roughly 1.08 percent lower quantity under the model and identifying assumptions. The ratio uses the same observations, instrument and controls in both supporting regressions. The first stage addresses relevance. Tax policy could still be associated with smoking attitudes or other tobacco policies, or affect consumption through other price channels. Those are substantive exogeneity or exclusion threats. Report the dedicated IV estimator's uncertainty rather than ordinary second-stage OLS SEs.

Next, change the outcome from a level to a probability

A binary response requires a different interpretation of the fitted function.

> We have used an outside source of variation to address a possible endogeneity problem under explicit assumptions.

> We will compare a linear probability model with logit and probit, define their prediction scales and calculate useful probability contrasts.